Graham relates that though he was worried at the top of the market, he failed to act on his bearish hunch. The Graham-Newman partnership went into the 1929 break with $2.5 million of capital. They controlled about $2.5 million in hedged positions—stocks owned long offset by stocks sold short and held, besides, about $4.5 million in outright long positions. It was bad enough that they were leveraged, as Graham later came to realize. Compounding that tactical error was a deeply rooted conviction that the stocks they owned were cheap enough to withstand any imaginable blow.

They came through the crash creditably: down by only 20% was, for the final quarter of 1929, almost heroic. But they gave up 50% in 1930, 16% in 1931, and 3% in 1932 (another relatively excellent showing), for a cumulative loss of 70%.[26] "I blamed myself not so much for my failure to protect myself against the disaster I had been predicting," Graham writes, "as for having slipped into an extravagant way of life which I hadn't the temperament or capacity to enjoy. I quickly convinced myself that the true key to material happiness lay in a modest standard of living which could be achieved with little difficulty under almost all economic conditions"—the margin-of-safety idea applied to personal finance.[27]

It can't be said that the academic world immediately clasped *Security Analysis* to its breast as the definitive elucidation of value investing, or of anything else. The aforementioned survey of the field in which Graham and Dodd made their signal contribution, *The Common Stock Theory of Investment*, by Chelcie C. Bosland, published three years after the appearance of the first edition of *Security Analysis*, cited 53 different sources and 43 different authors. Not one of them was named Graham or Dodd.

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[26] Ibid., p. 259.

[27] Ibid., p. 263.